

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester IV Examination, 2022-23

Paper: BCF-222: Financial Analysis

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

What do you understand by financial statement analysis? Describe the importance of such statement. [14]

OR

What is common-size balance sheet and income statement? Explain the technique of preparing the common size balance sheet. [14]

Question 2.

Find out:

- (a) Current Assets
- (b) Current Liabilities
- (c) Liquid Assets

Given Data:

- Current ratio = 2.6
- Acid test ratio = 1.5
- Working Capital = Rs. 1,64,000

[14]

OR

Elucidate the limitations of financial analysis.

[14]

Question 3.

What is funds flow statement? Give specimen of schedule of changes in the working capital and funds flow statement. [14]

OR

From the following balance sheet of XYZ Company for the year ending 31st Dec., 2021 and 31st Dec., 2022, prepare schedule of change in working capital and a statement showing sources and application of funds: [14]

Liabilities	2021 (Rs.)	2022 (Rs.)	Assets	2021 (Rs.)	2022 (Rs.)
Share Capital	3,00,000	4,00,000	Machinery	50,000	60,000
Creditors	1,00,000	70,000	Furniture	10,000	15,000
P/L A/c	15,000	30,000	Stock	85,000	1,05,000
			Debtors	1,60,000	1,50,000
			Cash	1,10,000	1,70,000
Total	4,15,000	5,00,000	Total	4,15,000	5,00,000

Question 4.

What do you mean by 'Cash Flow Statement'? How is it different from 'Fund Flow Statement'?
What is its utility? [14]

OR

What is the purpose of preparing a cash flow statement? How is it prepared? Explain with example. [14]

Question 5.

What is leverage? Explain the operating leverage and financial leverage. How are these calculated? [14]

OR

Discuss the importance of the following terms in relation to marginal costing (any three): [14]

- (a) P/V Ratio
- (b) Angle of incidence
- (c) Margin of safety
- (d) BEP (Break-Even Point)